HOUSE BILL 2344
By Harris

SENATE BILL 2672

By Akbari

AN ACT to amend Tennessee Code Annotated, Title 9 and Title 12, relative to bidding preferences.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. This act is known and may be cited as the "Tennessee Businesses First Act."

SECTION 2. Tennessee Code Annotated, Title 12, Chapter 4, Part 8, is amended by adding the following as a new section:

(a) The general assembly finds that:

(1) County and municipal governments, including local education agencies (LEAs), spend billions of public dollars each year on goods and services;

(2) A growing share of those dollars are awarded to out-of-state or non-local companies that do not employ local residents, pay local taxes, or reinvest in the community;

(3) Local contracting keeps tax dollars circulating in the local economy, strengthens small businesses, and increases job creation; and

(4) This state has a compelling interest in promoting local economic development and community stability through its procurement policies.

(b) As used in this section:

(1) "Local business" means a business, either for-profit or nonprofit, that:

(A) Has a physical office in the county in which a local government has made a request for bids on a contract for at least twelve (12) months prior to bidding on the contract;

(B) Employs residents of such county; and

(C) Is registered to do business in this state;

(2) "Local government" means a county, municipality, metropolitan government, or local education agency;

(3) "Out-of-county bidder" means a business that is not a local business; and

(4) "Qualified to execute the contract" means a determination by the local government that the local business:

(A) Is properly licensed, bonded, and insured as required by law;

(B) Demonstrates the financial capacity, technical ability, and experience necessary to perform the contract;

(C) Has not been suspended by another governmental entity from public contracting; and

(D) Has a satisfactory record of integrity, compliance, and past performance, if applicable.

(c) Notwithstanding another law, a local government:

(1) With centralized purchasing and a full-time purchasing agent shall provide a thirty-day local bidding period during which only local businesses may bid for any contract exceeding twenty-five thousand dollars ($25,000); and

(2) Without centralized purchasing or a full-time purchasing agent shall provide a thirty-day local bidding period during which only local businesses may bid for any contract exceeding fifty thousand dollars ($50,000).

(d)

(1) If, during the local bidding period under subsection (c), two (2) or more local businesses submit bids, the local government may tentatively award

the contract to the lowest responsible and responsive local bidder upon a written determination that the bidder is qualified to execute the contract and that the bid is fair and reasonable in price and quality.

(2) If, during the local bidding period under subsection (c), only one (1) local business submits a bid, the local government is not required to award the contract at that time and shall open the procurement to bids pursuant to subsection (e). The local business that submitted a bid during the local bidding period remains eligible for award and must be evaluated on the same terms and conditions as all other bidders qualified to execute the contract.

(e) After the local bidding period, the local government shall accept bids from any responsive bidder.

(f) If an out-of-county bidder submits a bid after the local bidding period under subsection (c) that is lower than the local bid, then a local business that was tentatively awarded the contract under subsection (d), if any, may submit a bid, within ten (10) days of the award, to match the out-of-county bidder's bid, and the local government shall award the contract to the local business upon matching the bid.

(g)

(1) A local government shall apply this section in a manner consistent with:

(A) Federal grant requirements;

(B) Federal procurement law; and

(C) Interstate commerce protections.

(2) Contracts funded by federal dollars must follow federal rules but must include local participation to the maximum extent permitted.

(h) An out-of-county bidder shall not qualify as a local business by:

(1) Creating a shell office in the county;

(2) Temporarily relocating to the county; or

(3) Using a front company located in the county.

(i) Each local government shall annually report to the department of labor and workforce development:

(1) The percentage of contracts awarded to local businesses;

(2) The total dollars retained in-county; and

(3) Job creation impacts.

SECTION 3. If any provision of this act or its application to any person or circumstance is held invalid, then the invalidity does not affect other provisions or applications of the act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are severable.

SECTION 4. This act takes effect July 1, 2026, the public welfare requiring it, and applies to local government contracts procured on or after July 1, 2026.